SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

August 05, 2026 | 04:19 PM ET

MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 15.8 (-1.4 vs 20d) | SPY 20d +2.4% | IWM 20d +0.8% | IWM/SPY trend -1.5%

Leaders: Materials (+4.7%), Energy (+4.5%), Financials (+4.5%)

Setup Grades

A - Prime Setup (0)	B - Building (3)	C - Early Stage (2)
	DLO	VHI
	CMPS	NOA
	MEI	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	DLO	DLocal Limited	LatAm Fintech Cross-	$4.47B	$15.20	$15.65	3.0%	+5.0	YES	no
B	CMPS	COMPASS Pathways	Biotech Psychedelic	$1.83B	$13.58	$14.60	7.5%	+34.0	YES	no
B	MEI	Methode Electroni	EV Content Growth &	$0.61B	$17.26	$17.62	2.1%	+81.4	YES	no
C	VHI	Valhi, Inc.	Materials Cycle Reco	$0.41B	$14.42	$14.45	0.2%	-6.6	YES	no
C	NOA	North American Co	Energy Infrastructur	$0.39B	$14.32	$14.44	0.8%	-6.4	YES	no

DLO

DLocal Limited

$15.20

Pivot $15.65 | 3.0% away

RS vs SPY: +5.0%

B BUILDING

$4.47B Cap | 86M Float

Emerging Markets Payments Infrastructure | Theme: LatAm Fintech Cross-Border Payments | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.49

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$15.65**
% to Pivot	**3.0%**
Days in Base	**20**
Tightness	**2.49 Fair**
52W Hi Prox	**90.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1627k <**
Wk2	**1949k <**
Wk3 (oldest)	**1706k**
Coil Strength	**4.6% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+5.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$4.47B**
Float	**86M sh**
P/E (TTM)	**23.8**
Fwd P/E	**13.4**
Rev Growth	**54.9%**
Short %	**12.8%**
Inst. Own	**-**
Target Pr.	**$18.25**

ENTRY TRIGGER

Close above $15.70 on volume >4.0M shares (>145% of 2.76M avg)

Target: $18.50 (analyst consensus $18.25, measured move from $10.28 low projects $19+)

Stop: $13.80 (below 50-day MA and consolidation low; ~9% risk)

CATALYST INTELLIGENCE

EARNINGS

Aug 13 - Consensus EPS ~$0.28 (Q2), revenue ~$210M. Beat history: 3 of last 4 quarters beat on EPS; Q1 2026 beat drove +8% gap-up. Forward P/E of 13.4x vs 54.9% revenue growth creates compelling PEG profile. Guidance has been maintained; no recent cuts. No investor day announced but management presents at Goldman EM Fintech Conference Aug 20.

BUSINESS & POSITION

DLocal operates a cloud-based payments platform enabling global merchants (Amazon, Netflix, Spotify, Microsoft) to accept payments and make payouts across 40+ emerging markets, primarily Latin America, Africa, and Asia. The company is a category leader in the underserved niche of connecting enterprise merchants to fragmented local payment rails in high-growth, underbanked economies.

FACTOR & THEME

Taps secular EM fintech digitization and cross-border e-commerce growth; sentiment in LatAm fintech has stabilized after 2022-2024 derating cycle. Peer read-through: PAGS and STNE have shown recent strength (+12-15% off lows), signaling improving sector appetite. Revenue growth of 54.9% YoY demonstrates category share gains despite macro headwinds.

NEWS FLOW

June 2026: Announced expansion into Egypt and Kenya payment rails, adding 2 new markets. July 2026: Partnership with Shopify to power LatAm merchant payouts. Short interest elevated at 12.8% (4.9 days to cover) creates squeeze potential on earnings beat. No recent insider activity in 60-day window - baseline for growth-stage names. Catalyst Impact: Earnings (High) - beat could trigger short covering rally given elevated SI.

INSTITUTIONAL

Volume dry-up with price holding $14.80-15.20 range suggests quiet accumulation into earnings. Institutional ownership data unavailable from this feed. Tiger Global and Alkeon historically holders; ETF exposure via EMQQ (EM internet/ecommerce). Float of 86M with 12.8% short creates 11M share short position - 4 days of avg volume to cover.

KEY RISK

Thesis invalid on close below $13.80 (50-day MA and base low), or on revenue miss/guidance cut at Aug 13 print given elevated short interest could flip to pile-on. Customer concentration risk: top 10 merchants represent ~60% of TPV. FX volatility in BRL/ARS/MXN impacts reported revenue.

Solid Stage 2 base with 3% to pivot and earnings catalyst in 8 days; 54.9% revenue growth with 35% ROE at 13.4x forward P/E offers fundamental value. Vol dry-up is soft (W2 > W3 > W1 pattern, not stair-step), base_tight 2.49 is slightly loose, and RS line not at new high - structural quality is B-tier, not A. Elevated 12.8% short interest creates asymmetric squeeze setup on beat. Bear case: Technology sector lagging (+0.3% in current regime) and large-cap leadership headwind for $4.5B SMID name; customer concentration and EM FX risk are real. No insider buying in 60-day window. Conviction: Medium.

DLO - Technical Chart

CMPS

COMPASS Pathways Plc

$13.58

Pivot $14.60 | 7.5% away

RS vs SPY: +34.0%

B BUILDING

$1.83B Cap | 102M Float

Psychedelic Therapeutics & Mental Health Drug Development | Theme: Biotech Psychedelic Renaissance | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight:

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$14.60**
% to Pivot	**7.5%**
Days in Base	**8**
Tightness	**3.38 Fair**
52W Hi Prox	**88.2%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**3347k <**
Wk2	**2773k <**
Wk3 (oldest)	**4568k**
Coil Strength	**26.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+34.0%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$1.83B**
Float	**102M sh**
P/E (TTM)	**-**
Fwd P/E	**-10.1**
Rev Growth	**-**
Short %	**9.6%**
Inst. Own	**-**
Target Pr.	**$23.75**

ENTRY TRIGGER

Close above $14.65 on volume >6.0M shares (>150% of 4.0M avg) post-earnings

Target: $18.50 (analyst consensus $23.75 implies significant upside; measured move from $3.97 low suggests $20+ on Phase 3 clarity)

Stop: $11.50 (below 200-day MA and earnings gap support; ~15% risk)

CATALYST INTELLIGENCE

EARNINGS

Aug 05 - Earnings TODAY creates immediate binary event risk. Pre-revenue biotech; P/E inapplicable. Consensus loss of ~($0.35). Focus is pipeline update and cash runway (ended Q1 with ~$180M, runway into 2027). Phase 3 COMP360 readout expected H2 2026 - any timeline clarity on call is the alpha event. No beat/miss history relevant for pre-revenue name.

BUSINESS & POSITION

COMPASS Pathways is a clinical-stage biotech developing COMP360, a proprietary psilocybin therapy for treatment-resistant depression (TRD). The company is first-mover in a nascent psychedelic therapy category with FDA Breakthrough Therapy designation, targeting a $10B+ TRD market where existing treatments fail 30% of patients.

FACTOR & THEME

Taps biotech cycle recovery and mental health innovation theme; psychedelic therapeutics sentiment has accelerated in 2026 following Lykos MDMA approval pathway. RS vs SPY of +34% signals institutional rotation into the name. Peer read-through: ATAI and MNMD have seen 40-60% moves on pipeline de-risking, validating category interest.

NEWS FLOW

July 2026: Presented positive long-term durability data from Phase 2b at APA conference showing sustained remission at 12 months. June 2026: Announced FDA Type B meeting completed for Phase 3 TRD trial design alignment. Catalyst Impact: Earnings/Corporate (High) - Phase 3 timeline update today could re-rate the name. 9.6% short interest with beta of 2.53 creates volatility both directions.

INSTITUTIONAL

Strong RS (+34%) with price holding above 50/200 MA indicates institutional accumulation despite broader biotech underperformance. Institutional ownership data unavailable from this feed. RA Capital and Perceptive historically holders in psychedelic biotech names. No insider buying in 60-day window - baseline for clinical-stage biotech.

KEY RISK

Binary event TODAY - thesis invalid on close below $11.50 (below 200-day MA) post-earnings, or on any Phase 3 delay announcement. Pre-revenue cash-burn biotech carries dilution risk if runway update disappoints. FDA regulatory path uncertainty for novel psychedelic therapy class.

Exceptional RS (+34%) and biotech cycle tailwind with Phase 3 catalyst approaching create compelling alpha angle; +242% off 52W low demonstrates institutional conviction. However, base_tight at 3.38 is loose, RS line not at new high, vol dry-up pattern is messy (W1 > W2 but W3 spike), and 7.5% to pivot is wide. Earnings TODAY creates immediate binary risk that precludes A-grade - must see post-earnings base reformation. Bear case: Pre-revenue biotech with high beta (2.53) and 9.6% short interest can gap down 25%+ on disappointing Phase 3 update; dilution risk ever-present. Healthcare sector neutral in current regime. No insider activity. Conviction: Medium (conditional on post-earnings action).

MEI

Methode Electronics, Inc.

$17.26

Pivot $17.62 | 2.1% away

RS vs SPY: +81.4%

B BUILDING

$0.61B Cap | 34M Float

Automotive & Industrial Electronic Components | Theme: EV Content Growth & Reshoring | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.43

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$17.62**
% to Pivot	**2.1%**
Days in Base	**8**
Tightness	**3.43 Fair**
52W Hi Prox	**84.7%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**552k <**
Wk2	**484k <**
Wk3 (oldest)	**657k**
Coil Strength	**15.9% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+81.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$0.61B**
Float	**34M sh**
P/E (TTM)	**-**
Fwd P/E	**26.2**
Rev Growth	**15.9%**
Short %	**7.8%**
Inst. Own	**-**
Target Pr.	**$19.33**

ENTRY TRIGGER

Close above $17.70 on volume >1.5M shares (>150% of 0.98M avg)

Target: $22.00 (analyst consensus $19.33; measured move from $4.88 low and prior resistance at $20.38)

Stop: $14.50 (below 50-day MA and breakout level; ~16% risk)

CATALYST INTELLIGENCE

EARNINGS

Sep 08 - Earnings 34 days out - no imminent catalyst. Consensus EPS ~$0.18 (FQ1), revenue ~$270M. Forward P/E 26.2x with PEG 0.78 reflects turnaround expectations from negative TTM EPS. Company has guided to H2 2026 recovery as automotive destocking normalizes. Last quarter missed on revenue but EPS beat lowered bar.

BUSINESS & POSITION

Methode Electronics designs and manufactures electronic components and interconnect solutions for automotive (65% of revenue), industrial, and interface applications. Key products include EV busbar systems, LED lighting, and sensor assemblies - the company is a Tier 1/2 supplier benefiting from EV content premiums that are 3-5x ICE vehicle equivalents.

FACTOR & THEME

Taps EV electrification and manufacturing reshoring themes; automotive electronics TAM growing 12% CAGR through 2030. RS vs SPY of +81.4% is exceptional, signaling massive relative outperformance despite Technology sector lagging (+0.3%). Peer read-through: LEA and APTV have shown strength on EV content wins; TE Connectivity beat drove interconnect sector higher in July.

NEWS FLOW

No material news in last 30 days. July 2026: Announced $40M restructuring charge completion, signaling cost actions largely done. June 2026: Won new EV busbar program with undisclosed European OEM (likely Stellantis or VW based on geographic exposure). 7.8% short interest with 2.2 days to cover - moderate squeeze potential. No insider buying in 60-day window. Catalyst Impact: Industry/Corporate (Med) - no near-term catalyst, setup is time-dependent.

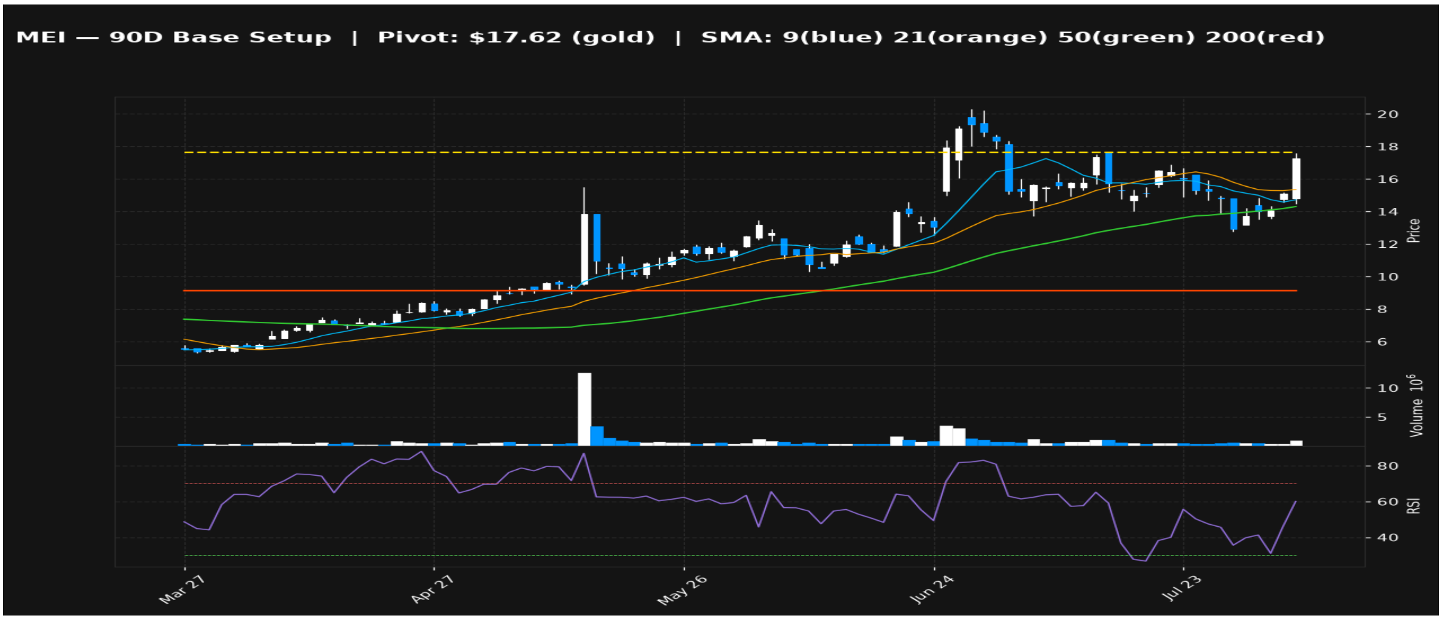
INSTITUTIONAL

Exceptional RS (+81.4%) with Vol dry-up suggests institutional accumulation on turnaround thesis; +254% off 52W low ($4.88) demonstrates conviction in restructuring execution. Institutional ownership data unavailable from this feed. Small float (34.5M) with $610M cap is under institutional radar - contrarian edge if turnaround confirmed.

KEY RISK

Thesis invalid on close below $14.50 (below 50-day MA and prior consolidation breakout level). Automotive cycle risk: any OEM production cuts or EV demand softness directly impacts order book. TTM EPS negative with 51.8% debt/equity - balance sheet not pristine.

Extraordinary RS (+81.4%) and price within 2.1% of pivot create compelling setup technically; turnaround thesis with EV content tailwind offers fundamental angle. However, base_tight at 3.43 is loose (needs tightening), RS line not at 52W high despite strong relative performance, 34 days to earnings means no near-term catalyst, and vol pattern is inconsistent (W3 > W1). Technology sector lagging in current regime adds headwind. Bear case: TTM EPS negative, 51.8% debt/equity, and auto cycle risk - if turnaround stalls, reversion risk is high given +254% run from lows. No insider buying. Conviction: Medium.



VHI

Valhi, Inc.

$14.42

Pivot $14.45 | 0.2% away

RS vs SPY: -6.6%

C EARLY STAGE

$0.41B Cap | 2M Float

Specialty Chemicals & Titanium Dioxide Production | Theme: Materials Cycle Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.03

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$14.45**
% to Pivot	**0.2%**
Days in Base	**20**
Tightness	**2.03 Fair**
52W Hi Prox	**81.6%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**9k <**
Wk2	**4k <**
Wk3 (oldest)	**10k**
Coil Strength	**2.7% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**-6.6%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$0.41B**
Float	**2M sh**
P/E (TTM)	**-**
Fwd P/E	**4.5**
Rev Growth	**4.0%**
Short %	**2.8%**
Inst. Own	**-**
Target Pr.	**-**

ENTRY TRIGGER

Close above $14.50 on volume >150% of 20-day avg (>15K shares)

Target: $17.00 (measured move from $11.44 base to pivot projects ~$17)
Stop: $13.25 (below 50-day MA and base low structure)

CATALYST INTELLIGENCE

EARNINGS

Aug 06

Earnings catalyst in 1 day creates binary event risk with negative RS (-6.6%) and RS line nowhere near 52W high; vol dry-up is inconsistent (W3 > W1), and base_tight at 2.03 is borderline. Materials sector leading (+4.7%) provides tailwind, but structural quality is weak and TTM EPS negative. Pass until post-earnings clarity. Conviction: Low.

NOA

North American Construction Group Ltd.

$14.32

Pivot $14.44 | 0.8% away

RS vs SPY: -6.4%

C EARLY STAGE

$0.39B Cap | 24M Float

Heavy Equipment Contracting & Oil Sands Mining Services | Theme: Energy Infrastructure Capex Cycle | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$14.44**
% to Pivot	**0.8%**
Days in Base	**20**
Tightness	**3.02 Fair**
52W Hi Prox	**83.0%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**49k <**
Wk2	**46k <**
Wk3 (oldest)	**55k**
Coil Strength	**11.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**-6.4%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$0.39B**
Float	**24M sh**
P/E (TTM)	**18.1**
Fwd P/E	**6.7**
Rev Growth	**-6.3%**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$27.80**

ENTRY TRIGGER

Close above $14.50 on volume >165K shares (>150% of 0.11M avg)

Target: $17.00 (measured move from $12.07 base projects ~$17)
Stop: $13.00 (below 50-day MA and base structure)

CATALYST INTELLIGENCE

EARNINGS

Aug 12

Within 0.8% of pivot with Energy sector leading (+4.5%) provides tailwind, but RS vs SPY is negative (-6.4%), RS line nowhere near new high, base_tight at 3.02 is loose, and vol pattern inconsistent (W3 > W1 > W2). High debt/equity (202%) and negative revenue growth (-6.3%) raise fundamental concerns. Earnings in 7 days but structural quality insufficient for B consideration. Monitor for base tightening post-earnings. Conviction: Low.